CLIENT SUITABILITY MATRIX v2.2

1. Risk Tolerance and Investment Horizon Matrix

Risk Tolerance	Short-Term Goals	Medium-Term Goals	Long-Term Goals
Conservative	Money Market	Bond Funds	Balanced Funds
	CDs	Treasury Bonds	Dividend Stocks
Moderate	Short-Term Bonds	Balanced Funds	Growth Funds
	High-Yield Savings	Blue-Chip Stocks	Index ETFs
Aggressive	N/A	Growth Stocks	Small-Cap Funds
		Sector ETFs	Emerging Markets

2. Client Characteristics and Product Recommendations

Characteristic	Conservative	Moderate	Aggressive
Age: 20-35	Emergency Fund	Index Funds	Growth Stocks
	Starter IRA	Roth IRA	Small-Cap Funds
Age: 36-50	Term Life Insurance	Growth & Income Funds	Real Estate
	529 Plans	Target-Date Funds	Sector ETFs
Age: 51-65	Annuities	Dividend Stocks	Intl. Equities
	Muni Bonds	Corporate Bonds	Commodities
Age: 65+	CDs	Preferred Stocks	High-Yield Bonds
	Treasury Bonds	Balanced Funds	MLPs

3. Profession-Based Recommendations
- Healthcare: Healthcare sector funds, Malpractice insurance
- Technology: Tech-sector ETFs, Stock options planning
- Education: 403(b) plans, Summer savings strategies
- Small Business Owner: SEP IRA, Business succession planning

4. Family Situation Considerations
- New Parents: 529 plans, Increased life insurance
- Sandwich Generation: Long-term care insurance, Multi-generational wealth planning
- Empty Nesters: Catch-up contributions, Travel reward credit cards
- Single: Disability insurance, Higher emergency fund

5. Mixed Risk Profile Strategies

- Bucket Strategy: Separate short-term (conservative) and long-term (aggressive) investments
- Core-Satellite Approach: Core of index funds with satellite of active investments
- Risk Parity: Balance risk across asset classes rather than capital allocation

6. Life Stage-Specific Recommendations
- New Graduates: Student loan repayment strategies, Starter credit cards
- New Parents: College savings plans, Term life insurance
- Pre-Retirees: Retirement income planning, Long-term care insurance
- Recent Retirees: Social Security optimization, RMD strategies

7. ESG (Environmental, Social, Governance) Investment Considerations
- ESG Integration: Incorporate ESG factors into traditional financial analysis
- Negative Screening: Exclude certain sectors or companies
- Impact Investing: Target specific social or environmental outcomes alongside financial returns
- Thematic Investing: Focus on specific ESG themes (e.g., clean energy, water scarcity)

8. Liquidity Needs Assessment
- High Liquidity: Money market funds, Short-term bond funds
- Medium Liquidity: Mutual funds, Blue-chip stocks
- Low Liquidity: Real estate investments, Private equity

9. Income Requirements Strategies
- High Income Need: Dividend stocks, Bond ladder, Annuities
- Moderate Income Need: Balanced funds, REITs
- Low Income Need: Growth stocks, Capital appreciation focused funds

10. Tax Situation Optimization
- High Tax Bracket: Municipal bonds, Tax-managed funds
- Moderate Tax Bracket: Index ETFs, Tax-efficient mutual funds
- Low Tax Bracket: High-yield bonds, REITs

11. Risk Adjustment with Age
- General Rule: (100 - Age) = Equity Allocation %
- Conservative: (110 - Age) = Equity Allocation %
- Aggressive: (120 - Age) = Equity Allocation %